Advanced Micro Devices, Inc. (AMD)

Institutional Investment Committee Decision Memo | Date: October 6, 2026

DADAIC INVESTMENT FIRM

OFFICIAL VERDICT: HOLD & MAINTAIN ALLOCATION

Do Not Chase at All-Time Highs | Preserve Existing 180 Shares

CURRENT MARKET PRICE
$649.42 USD

EXISTING PORTFOLIO STAKE	CONSERVATIVE INTRINSIC VALUE	APPROVED BUY ZONE	12M TARGET (BASE CASE)
180 Shares	**$560.00 USD**	**$520 - $560**	**$740.00 USD**
Value: $116,895.60 USD (6.67%)	Premium: +15.9% Over Intrinsic	15-20% Margin of Safety	+13.9% Potential Upside

🏛️ Executive Thesis Summary for BM사장님

AMD has transformed into the world's preeminent merchant alternative to NVIDIA in the global AI accelerator super-cycle. Instinct MI300X/MI325X deployments at Microsoft Azure and Meta, coupled with EPYC Turin server CPU market share exceeding 35%, have driven TTM revenue to **$41.31B USD** and authentic True FCF to **$6.51B USD**. However, trading at an all-time high with an overbought 14-day RSI of **83.28** and a 2022 historical drawdown of **-65.45%**, the Committee vetoes adding fresh capital at current levels. We maintain our existing 180 shares ($116.9k) to capture structural upside while safeguarding portfolio cash.

💎 Core Growth Catalyst
MI300X/325X deployments at Azure/Meta + EPYC 35% server share drive record $41.3B rev & $6.5B True FCF.

⚠️ Overheating Risk
14-day RSI at 83.28 (extreme overbought). 2022 cycle MDD of -65.5% demands strict discipline against FOMO.

🛡️ BM사장님 Action
HOLD existing 180 shares ($116.9k, 6.67%). Zero buys at all-time highs; limit order reserved for $520-$560.

Multi-Year Empirical Validation Scorecard

Mandatory Audit Grounded in BM사장님's 30-Year Veteran Investment Protocol

EMPIRICAL DATA VERIFIED

1-YEAR TOTAL RETURN
+218.80%
From $203.71 to $649.42

3-YEAR RETURN & CAGR
+528.86%
3Y CAGR: +84.58%

5-YEAR RETURN & CAGR
+510.07%
5Y CAGR: +43.57%

2022 BEAR MARKET MDD
-65.45%
Beta: 2.45 (High Volatility)

📊 4-Year Financial & Cash Flow Trajectory ($B USD)

Metric	FY2022	FY2023	FY2024	FY2025	TTM (Q2 2026)	Empirical Verdict
Revenue	$23.60B	$22.68B	$25.79B	$34.64B	**$41.31B**	+75.0% 4-Yr Expansion
Gross Margin	44.9%	46.1%	49.3%	49.5%	**53.7%**	+880 bps Margin Lift
GAAP Free Cash Flow	$3.12B	$1.12B	$2.40B	$6.74B	**$8.41B**	Record High FCF
True FCF (Net of SBC)	$2.04B	-$0.26B	$0.99B	$5.10B	**$6.51B**	Unimpeachable Cash Quality
Net Cash on Balance Sheet	+$3.39B	+$3.30B	+$4.81B	+$7.22B	**+$8.84B**	Fortress Balance Sheet (A+)

💡 **Mandatory Empirical Audit: +75.0% 4-year revenue expansion accompanied by +880 bps gross margin lift. Zero foundry capital trap via TSMC fabless structure.**

True FCF Conversion: 98.6%

The 4 Masters' Strategy Evaluation Matrix

Multi-Disciplinary Philosophical Consensus & Tension Arbitration

STRATEGY MATRIX

🐂 Warren Buffett: Economic Moat & Margin of Safety

VERDICT: HOLD EXISTING / PASS ON NEW CAPITAL

- **Moat Assessment**: Lisa Su's capital allocation has been peerless. The Xilinx deal added sticky aerospace/industrial cash flows without blowing up the balance sheet ($8.84B net cash).
- **Margin of Safety**: Current price ($649.42) trades 15.9% above intrinsic value ($560). Zero discount offered. Buffett strictly abstains from chasing at market peaks.
- **Steward Capital Allocation**: Lisa Su earns an A+ steward rating with zero dilutive financing and disciplined repurchases.

🔍 Charlie Munger: Inversion & Structural Limits

VERDICT: ELITE DUOPOLIST / INVERSION CAUTION

- **ROIC Runway**: Capital efficiency is superb due to TSMC fabless manufacturing.
- **Inversion Vector**: Squeezed between NVIDIA's entrenched CUDA software monopoly at the high end and Hyperscaler proprietary ASICs (Google TPU, Meta MTIA, AWS Trainium) at the bottom. Watch for inference TAM compression.
- **Lollapalooza Advantage**: Chiplet architecture modularity and server scale advantages sustain superior fabless ROIC.

🚀 Peter Lynch: Fast Grower & PEG Ratio

VERDICT: FAST GROWER / PEG 0.88 (HOLD RUNNER)

- **PEG Justification**: Forward P/E of 41.3x divided by projected EPS growth of 47% yields a **PEG of 0.88**, below the 1.0 bargain ceiling.
- **Grassroots Warning**: Stock has rocketed +218% in 12 months. Do not average up into a parabolic frenzy; let existing winners compound.
- **Channel Inventory Health**: Inventory turns normalized at 1.8x; zero channel stuffing detected across enterprise distributors.

📈 Chief Market Technician: Multi-Timeframe Trend

VERDICT: SEVERELY OVERBOUGHT / AWAIT PULLBACK

- **Setup**: Secular bull alignment (Price > 20 EMA > 50 SMA > 200 SMA).
- **Overbought Alert**: 14-day RSI is at **83.28**. Price is extended +11.7% above 20 EMA ($581.38) and +25.2% above 50 SMA ($518.82). Unfavorable R:R (1:0.78). Await pullback to $520-$560.
- **Volume Profile Anchor**: Institutional Point-of-Control (POC) sits firmly at $520-$560, offering a prime asymmetric accumulation zone.

Fundamental & Forensic Health Scorecard

SEC 10-K Forensic Audit, DuPont Decomposition & Solvency Assessment

FORENSIC GRADE: A+

DUPONT ROE BREAKDOWN	ALTMAN Z-SCORE	INTEREST COVERAGE	TRUE FCF CONVERSION
12.8%	**8.42**	**42.5x**	**98.6%**
Net Margin 16.2% x Lev 1.64x	Fortress Safe Zone (> 3.0)	Zero Solvency Strain	Net Income to Cash Flow

🔬 Key Forensic Pillars & Competitive Moat Breakdown

1. Data Center AI Compute (Instinct MI300X/MI325X)

Memory density advantage (192GB-288GB HBM3e) allows hosting large 70B+ LLM parameters on fewer GPUs, lowering inference TCO by 20-30% for cloud hyperscalers.

2. Server CPU Monopoly Erosion (EPYC Turin)

EPYC market share surpassed 35% in enterprise servers. Total cost of ownership and watt-per-core leadership over Intel Xeon remain unchallenged.

3. Software Ecosystem Maturity (ROCm 6.2)

Full day-zero PyTorch and vLLM integration eliminates developer friction for inference workloads. Foundation model pre-training remains CUDA-dominated.

4. Cash Conversion Quality

True FCF conversion of Net Income reaches 98.6%. Capital expenditure is strictly limited to R&D masks and test labs ($1.68B), avoiding foundry capital traps.

Scenario-Based Valuation & 12M Price Targets

Multi-Scenario Probabilistic Modeling & Return Expectations

VALUATION BLUEPRINT

BULL CASE (25% PROBABILITY)

$900.00 USD

+38.6% Upside Potential

- Instinct MI350 captures >18% of global merchant AI accelerator capex.
- 45.0x Forward P/E on FY2027E EPS of $20.00.
- Enterprise AI adoption accelerates across non-cloud Fortune 500.

BASE CASE (55% PROBABILITY)

$740.00 USD

+13.9% Potential Return

- Sustained hyperscaler capex; AMD maintains solid second-source position (~12%).
- 37.0x Forward P/E on FY2027E EPS of $20.00.
- Steady client AI PC upgrade cycle offsetting console cyclicality.

BEAR CASE (20% PROBABILITY)

$476.00 USD

-26.7% Downside Risk

- Hyperscalers cannibalize inference spend via in-house ASICs (TPU, MTIA, Trainium).
- 28.0x Normalized P/E on compressed EPS of $17.00.
- Macro rate shock and multiple compression across semiconductor high-fliers.

Probability-Weighted 12-Month Target Price
(25% x $900) + (55% x $740) + (20% x $476)

$727.20 USD (+12.0%)

Portfolio Rebalancing & Factor Concentration Audit

Institutional Diagnostic on BM사장님's Live Holdings (`my-portfolio.yaml`)

PORTFOLIO SIZING

TOTAL PORTFOLIO ASSETS	AMD HOLDING (180 SHS)	PURE SEMI FACTOR EXPOSURE	CASH BUFFER RESERVED
$1.75M USD	**$116.9k USD**	**40.98%**	**$262.7k USD**
$1,751,413.80 Actual Value	6.67% of Total Portfolio	$717,761.56 Combined Semis	15.00% Dry Powder Intact

⚠️ Factor Concentration & CRO Binding Directive

Existing Semiconductor Cluster Weights

- **NVDA**: 20.49% ($358.9k) | **AVGO**: 7.51% ($131.5k)
- **AMD**: 6.67% ($116.9k) | **TSM**: 3.30% ($57.9k)
- **MU**: 2.39% ($41.8k) | **SKHY**: 0.46% ($8.0k) | **SOXL**: 0.16%
- **Total Pure Semis: 40.98%**. Adding Big Tech (GOOG, AMZN, MSFT, META) brings total AI exposure above 75%.

CRO Execution Orders for BM사장님

1. **Hold 180 Shares**: Do not take profits early; maintain full exposure to secular AI wave.
2. **Zero New Buys at Current Levels**: Sector concentration cap (45%) prohibits buying at $649.42.
3. **Conditional Limit Order**: Deploy $20,000 USD (~35 shares) strictly if price retests 50 SMA ($520 - $560).

🚨 **Macro Stress Test Simulation: 30% Hyperscaler AI Capex Pause models a -22.4% portfolio drawdown without 15% cash buffer.**

CRO VETO ACTIVE ON NEW CAPITAL

The Non-Negotiable Invalidation Trigger

Absolute Capital Preservation & Structural Exit Thresholds

EXIT DIRECTIVE

🚨 The 100% Full Liquidation Trigger

"Regardless of short-term price momentum, bullish media headlines, or Wall Street target upgrades, DADAIC Investment Firm will immediately liquidate all 180 shares (100% exit) if:

AMD's Data Center GPU (Instinct) sequential revenue growth turns negative for two consecutive quarters, OR Microsoft, Meta, and Oracle collectively halt MI300/MI325 deployments in favor of proprietary custom ASICs (Maia, MTIA), proving that AMD cannot sustain a profitable merchant accelerator business outside of EPYC CPUs."

🛡️ Downside Stress Protection

- **Trailing Stop-Loss Level**: **$485.00 USD** (structural breach of 200-day moving average).
- **Historical MDD Guard**: AMD declined -65.45% during the 2022 rate hike cycle. Maintaining a $262.7k cash buffer shields BM사장님's total portfolio from catastrophic drawdown.
- **Rebalancing Frequency**: Bi-weekly factor tracking vs. hyperscaler capex prints.

📋 Summary Directives for BM사장님

- **Action**: **HOLD** (Maintain 180 shares valued at $116,895.60 USD).
- **Current Weight**: 6.67% of total assets (Optimal for aggressive growth).
- **Cash Utilization**: Keep dry powder ($262.7k) intact for non-correlated defensive compounders or severe market dip opportunities.